Amazon Fire Phone Post-Mortem Analysis

Background

The Amazon Fire Phone was a smartphone developed by Amazon and was released on July 25, 2014. The Amazon Fire Phone was intended to enter the competitive smartphone market and provide users with a device that integrated Amazons services. The phone was meant to compete with smartphone companies like Apple and Samsung.

Reasons for Failure

The Amazon Fire Phone failed for several reasons including its high price, limited app availability, strong competition and being late to the market. The phone was $199 with a two year contract or $649. Apple and Samsung were around the same price and offered better features compared to the new Amazon Fire Phone.

The phone had limited availability and was sold only through AT&T in the United States. The phone relied on Amazons own app store instead of Google play, this caused the phone to only be able to access 240,000 apps, compared to the 1 million offered in google. This did not provide enough practical value to convince customers to switch from their existing smartphones.

This resulted in the Fire Phone receiving poor sales. Less than two months after their launch Amazon reduced the contract price to just $.99. The reason why was because Amazon reported $170 million in charges related to the Fire Phone inventory and supplier commitments, with about $83 million in remaining inventory.

Lessons Learned

- Market research: Conduct market research to understand customer needs and expectations before launching a new product.
- Customer Value: Innovative features do not guarantee the success of a product unless there is practical value to customers.
- Competitive Pricing: Consider competitors price, features, and market reputation when setting a product price. If the price for the product is higher than competitor prices it should be backed up extensively.
- Risk Management: Identify the potential risks of the product.

- Performance Monitoring: Monitor KPIs like sales and customer satisfaction to identify problems and make adjustments before significant financial losses occur.

Recommendations

- Conduct Market Research
- Develop a Competitive Pricing Strategy
- Expand App Availability
- Avoid Carrier Exclusivity
- Conduct Product Testing
- Monitor Performance

Resources

https://press.aboutamazon.com/2014/7/fire-first-smartphone-designed-by-amazon-now-available-at-at-t-and-amazon

https://time.com/3536969/amazon-fire-phone-bust/

https://finance.yahoo.com/news/amazon-took-170-mln-charge-220641378.html?utm_source=chatgpt.com&guccounter=1